

Price Discovery and Trading in Modern Prediction Markets

Hunter Ng¹, Lin Peng¹, Yubo Tao², Dexin Zhou¹

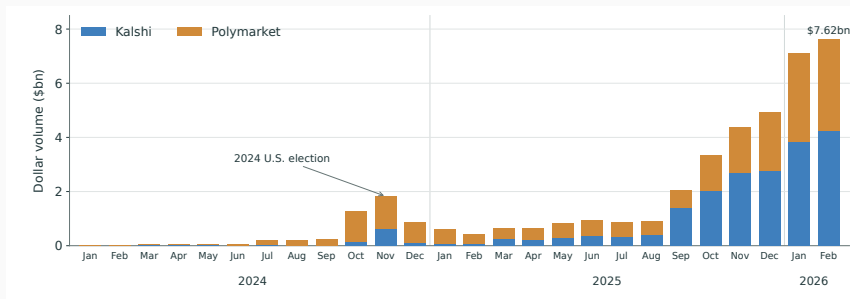
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¹Baruch College, City University of New York

²University of Macau

Why Look at Prediction Markets?



Trading has grown rapidly: **under \$5bn to about \$24bn** in monthly contract notional.

Our cross-market approach: track the **same outcome** across platforms and compare the **relative speed of price discovery**.

Figure 1 (adapted); [Pew Research \(2026\)](#). Chart: Jan 2024–Feb 2026; Pew: Sep 2025–Apr 2026.
Takeaway: Trading Activity Has Grown Sharply On Both Platforms.

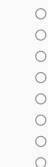
Introduction



Elections



Full Sample



Preview of Results

- **Election:** Price gaps and potential arbitrage persist, consistent with access and capital frictions. **Polymarket leads Kalshi** in returns.
- **Across contracts:** **No universal leader**. Polymarket leads in politics and entertainment; Kalshi in sports.
- **Liquidity:** Active venues may attract informed traders. Kalshi's lead is stronger when its relative total and whale volume is high.
- **Access and oversight:** May shape informed traders' venue choice. Higher insider risk is associated with stronger Polymarket leadership in politics and entertainment.

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Tables 2–8. Election: Oct 4–Nov 5, 2024; matched: Sep 13, 2023–Mar 29, 2026.
Takeaway: Leadership Varies Across Markets And Trading Conditions.

Recent Literature and Our Contribution

- **Prices as expectations:** macroeconomic beliefs, voter preferences, and earnings expectations (Diercks, Katz, and Wright, 2026; Chernov, Elenev, and Song, 2026; Gómez-Cram et al., 2025).
- **Informed trading:** concentrated gains on Polymarket (Akey et al., 2026; Gómez-Cram et al., 2026); informed trading and spreads on Kalshi (Bartlett and O'Hara, 2026).
- **Information transmission:** political-shock adjustment (Tsang and Yang, 2026); election probabilities predicting “Trump-trade” asset returns (Goldstein, Li, and Wang, 2026).

Our contribution: compare **the same outcome across prediction platforms**, linking relative price-discovery speed to trading activity and insider-information risk.

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Election Data and Findings

DJT-Win and KH-Win, Oct 4–Nov 5, 2024

Platform	Source	Data used	Introduction
Kalshi	Official trading API	Trade prices, sizes and times	●
Polymarket	Goldsky Orders Matched	On-chain trade records	●
PredictIt	Official website	Daily closing prices	●
Robinhood	App screen recordings	Reconstructed daily prices	●

All four: daily price comparisons.

Kalshi and Polymarket: arbitrage and 30-minute return dynamics.

- **Persistent price gaps create potential arbitrage.**
- **Polymarket leads Kalshi in election returns.**

Tables 1–4. Prices: Oct 4–Nov 5, 2024; returns: Oct 4, 08:00–Nov 4, 19:00 ET, 2024.
Takeaway: Four Platforms For Daily Prices; Kalshi And Polymarket For Intraday Tests.

Price Gaps and Arbitrage

Average daily price on Polymarket minus Kalshi, in cents

	DJT-Win	KH-Win
Price difference	2.5885***	-3.2676***
Absolute t -statistic	[8.29]	[14.73]

Kalshi's KH-Win price is higher on **all 33 days**.

Potential arbitrage: bullish DJT leg on Kalshi

Matching interval	Without cost	After 2% cost
1 second	\$135,480	\$42,742
5 minutes	\$2,581,976	\$1,008,230

Tables 2–3. Oct 4–Nov 5, 2024.

Takeaway: Persistent Price Gaps Create Potential Arbitrage, Not Guaranteed Execution.

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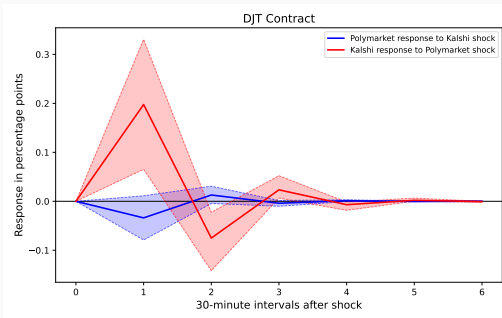
Elections



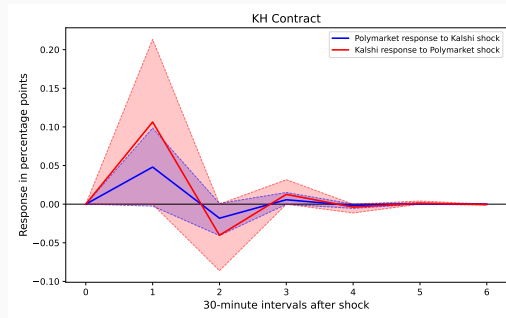
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Polymarket Leads in the Election



Polymarket $\rightarrow$ Kalshi
Kalshi $\rightarrow$ Polymarket



DJT	KH
0.198***	0.106**
-0.034	0.048*

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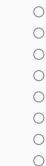


Table 4; Figure 6. Oct 4, 08:00–Nov 4, 19:00 ET, 2024.
Takeaway: Polymarket Leads Kalshi For Both Election Contracts.

Does the Election Lead Generalize?

Polymarket leads in the election. **Does this extend to other events?**

1. Find events with similar text, the same category and overlapping dates.
2. LLM event review, then checks of each market's outcome, threshold and deadline.

Matched example	Polymarket	Kalshi
Japan election	CRA wins 173+ seats	Centrist Reform Alliance wins above 172 seats
Trump on Joe Rogan	Appearance before election	Appearance before Nov 5, 2024

Reject: a Robertson knockout win versus any Robertson win.

Takeaway: Match Equivalent Bets To Test Whether Election Leadership Generalizes.

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Full-Sample Leadership Runs Both Ways

Before matching

Trading volume, billions of contracts

Category	Kalshi	Polymarket
Politics/elections	2.91	16.08
Entertainment	0.63	1.01
Sports	38.77	21.62
All categories	44.69	55.15

Matched-sample lead-lag results

1,972 market pairs in 1,533 events

	Equal weight	Volume weight
$P \rightarrow K$	0.100***	0.265***
$K \rightarrow P$	0.095***	0.636***

In the full matched sample, **both lead-lag directions are significant**. Polymarket is not always the leader.

Table 5; Table A7, Panel B. Sep 13, 2023–Mar 29, 2026.
Takeaway: Both Lead-Lag Directions Are Significant In The Full Matched Sample.

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Who Leads Depends on the Category

	Politics/elections	Entertainment	Sports
Matched-sample volume, millions of contracts			
Polymarket	1,404.5	4.6	246.4
Kalshi	512.2	6.2	570.3
Volume-weighted lead-lag coefficients			
Polymarket → Kalshi	0.178***	0.059***	-0.074
Kalshi → Polymarket	-0.028	0.040	1.414***

Polymarket leads in **politics and entertainment**. Kalshi leads in **sports**.

Entertainment: Polymarket leads despite lower matched volume.

Table 7; Table A6, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Polymarket Leads In Politics And Entertainment; Kalshi Leads In Sports.

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When Is the Lead Stronger?

We next test whether either platform's lead is more pronounced when:

- **Relative volume:** more trading takes place on that platform.
- **Whale activity:** large trades concentrate on that platform.
- **Insider-information risk:** some participants may know the outcome early.
- **Manipulation risk:** a few people can influence the outcome.

Compare high and low conditions for **both lead-lag directions**.

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Takeaway: Compare Both Lead-Lag Directions Across Trading And Risk Conditions.

Relative Volume and Whale Activity

Compare low and high cumulative activity on Polymarket relative to Kalshi.

	Low P/K activity	Change when high
Total trading activity		
Kalshi → Polymarket	0.220***	-0.211***
Polymarket → Kalshi	0.073***	-0.042
Whale trading activity		
Kalshi → Polymarket	0.196***	-0.186***
Polymarket → Kalshi	0.077***	-0.026

Kalshi's estimated lead is nearly offset; the reverse change is insignificant.

Table 6, Panels A–B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Kalshi's Lead Weakens When Relative Polymarket Volume Or Whale Activity Is High.

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Insider-Information Risk

Change from low to high insider-information risk

	Politics/elections	Entertainment	Sports
Polymarket → Kalshi	0.111*** [4.69]	0.197*** [2.72]	-0.517 [-1.07]
Kalshi → Polymarket	-0.106*** [-2.75]	-0.340** [-2.18]	1.206 [1.63]

Leadership shifts toward Polymarket in politics and entertainment. We do not find a significant shift in sports.

Table 8, Panel A. Sep 13, 2023–Mar 29, 2026.

Takeaway: Higher Insider-Information Risk Shifts Leadership Toward Polymarket In Politics And Entertainment.

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Manipulation Risk

Change from low to high manipulation risk

	Politics/elections	Entertainment	Sports
Polymarket → Kalshi	-0.065 [-0.67]	0.070 [1.02]	-0.586 [-0.97]
Kalshi → Polymarket	-0.097* [-1.92]	-0.072 [-0.44]	0.108 [0.12]

Limited evidence: Kalshi's lead weakens in politics at the 10% level. The other changes are insignificant.

Table 8, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Only The Decline In Kalshi's Political-Market Lead Is Significant, At The 10% Level.

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There is no universal price-discovery leader: leadership varies across markets and trading conditions.

Thank you.

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**Full
Sample**



Backup: Questions and Evidence

Topic	Selected evidence	Pages
Setting and units	Platforms, timeline, volume definitions	B2–B4
Data and timing	Windows, missing prices, maintenance	B5–B7
Election results	Summaries, price gaps, arbitrage, VAR	B8–B15
Matching and coverage	Same bet, sample selection, categories	B16–B18
Full-sample VAR	Complete results and weighting	B19–B20
Trading and whales	Measures, interactions, complete tables	B21–B25
Category and risk results	Category VARs, risk definitions and tables	B26–B29
Interpretation	What the evidence does not identify	B30

Return to the talk's conclusion

Tables 1–8. Election: Oct 4–Nov 5, 2024; matched: Sep 13, 2023–Mar 29, 2026.
Takeaway: Use These Backups For Definitions, Complete Estimates And Limitations.

The Platforms in Our Sample

	Kalshi	Global Polymarket
Trading	Central limit order book	Off-chain central limit order book
Settlement	Centralized, collateralized	Polygon smart contracts; USDC
Identity and oversight	Verified accounts; CFTC-regulated DCM	Wallet addresses; different access and oversight
Resolution	Contract's stated settlement rules	UMA optimistic oracle and dispute process

Robinhood and PredictIt enter the election price comparison only. Robinhood's 2024 contracts used ForecastEx.

Political Prediction Markets: Regulatory Timeline

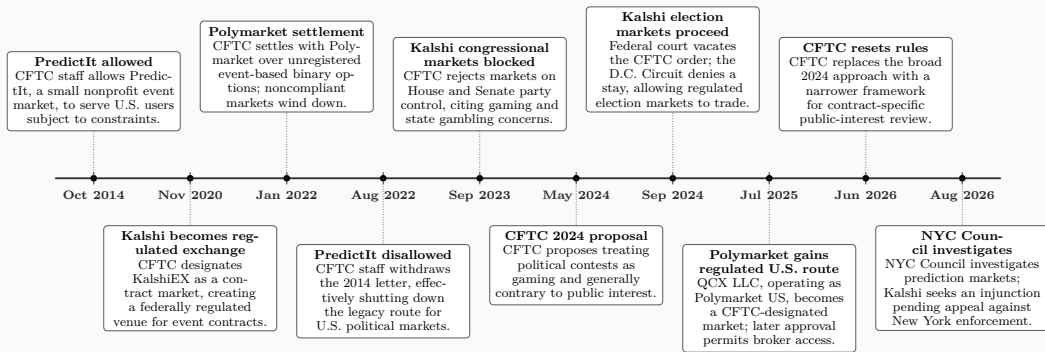


Figure A1. Oct 2014–Aug 2026.

Takeaway: Access And Oversight Have Changed As Political Prediction Markets Have Grown.

Three Different Measures of Activity

$$\text{Contracts traded} = \sum_j q_j,$$

$$\text{Transaction dollar volume} = \sum_j p_j q_j,$$

Number of trades = count of transaction records.

- A 100-contract trade at \$0.60 has \$60 of transaction value and one trade record.
- The relative-volume regressions use contracts. Whale classification uses trade notionals, $p_j q_j$.
- Trade counts depend on how the source records executions.

Tables 1 and A6. Study period: Sep 13, 2023–Mar 29, 2026.

Takeaway: Contracts, Dollar Volume And Trade Counts Are Different Measures.

Which Sample Window Applies?

Daily election tables	Oct 4–Nov 5, 2024; Robinhood: Oct 28–Nov 5.
Intraday summary statistics	Oct 4, 08:00 ET–Nov 5, 03:00 ET.
Election VAR and IRFs	Oct 4, 08:00 ET–Nov 4, 19:00 ET.
Arbitrage tables	Oct 4, 08:00 ET–Nov 5, 23:59 ET.
Polls and Polymarket	Jul 22–Nov 4, 2024; daily frequency.
Full matched panel	Sep 13, 2023–Mar 29, 2026.

Tables 1–5 and A2. Election analyses: Jul 22–Nov 5, 2024; matched: Sep 13, 2023–Mar 29, 2026.
Takeaway: Different Analyses Use Different Cutoffs.

Prices, Returns, and Missing Intervals

1. Put both platforms on the same 30-minute UTC grid.
2. At each endpoint, use the latest transaction price at or before it. Treat the price as missing if the last trade is more than 60 minutes old.
3. Calculate $R_t = 100[\log(p_t) - \log(p_{t-1})]$.
4. For VAR(1), require current and lagged returns on both platforms. That requires prices at three successive grid points.

Zero return means **no price change**, not necessarily no trades. A stale or missing price is a different issue.

Tables 4–5. Study period: Sep 13, 2023–Mar 29, 2026.

Takeaway: An Unchanged Price Is Not A Missing Price, And A Zero Return Need Not Mean No Trades.

Maintenance and Daylight Saving

The paper excludes intervals with UTC hour **08, 09, 10, or 11**.

Before Nov 3, 2024	04:00–08:00 Eastern Daylight Time
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From Nov 3, 2024	03:00–07:00 Eastern Standard Time
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This is a **fixed UTC exclusion**, not a fixed 03:00–08:00 ET window. The local-clock conversion changes with daylight saving.

Table 4. Oct 4, 08:00–Nov 4, 19:00 ET, 2024.
Takeaway: Fixed UTC Exclusions Shift By One Eastern-Clock Hour When Daylight Saving Ends.

Election Summary: Daily Prices

DJT-Win						
Platform	N	Mean	Std	25%	50%	75%
Kalshi	33	56.27	4.27	53.14	56.54	59.05
Polymarket	33	58.86	4.94	54.85	59.75	63.15
PredictIt	33	56.15	7.72	52.00	55.00	58.00
Robinhood	9	60.67	3.61	59.00	60.00	63.00

KH-Win						
Platform	N	Mean	Std	25%	50%	75%
Kalshi	33	44.14	4.31	41.55	44.02	47.17
Polymarket	33	40.87	4.66	36.80	40.30	44.75
PredictIt	33	47.70	8.12	46.00	49.00	52.00
Robinhood	9	44.44	3.71	42.00	46.00	46.00

Table 1, Panels A–B. Oct 4–Nov 5, 2024; Robinhood: Oct 28–Nov 5, 2024.
Takeaway: Average Daily Prices Differ Across Platforms.

Election Summary: Volume and Returns

DJT-Win							
Variable	Platform	N	Mean	Std	25%	50%	75%
Volume	<i>K</i>	1139	107,069	216,500	4,711	21,840	106,910
Volume	<i>P</i>	1139	484,858	505,385	165,292	347,319	642,704
Return	<i>K</i>	1137	0.001	1.091	0.000	0.000	0.000
Return	<i>P</i>	1138	-0.001	0.863	-0.308	-0.000	0.308
KH-Win							
Variable	Platform	N	Mean	Std	25%	50%	75%
Volume	<i>K</i>	1142	97,892	239,805	4,082	19,148	75,336
Volume	<i>P</i>	1142	483,920	554,291	142,718	303,518	650,357
Return	<i>K</i>	1140	0.027	1.380	0.000	0.000	0.000
Return	<i>P</i>	1141	0.013	1.200	-0.445	0.000	0.500

Table 1, Panels C–D. Oct 4, 08:00–Nov 5, 03:00 ET, 2024.

Takeaway: Polymarket Has Higher Average 30-Minute Contract Volume For Both Election Markets.

Price Dispersion: Signed Differences

	Kalshi	Polymarket	PredictIt	Robinhood
Kalshi	—	-3.2676*** [-14.73]	3.5597*** [2.86]	2.3878*** [6.01]
Polymarket	-2.5885*** [-8.29]	—	6.8273*** [5.32]	6.0889*** [12.90]
PredictIt	0.1161 [0.10]	2.7045** [2.22]	—	-1.0000 [-0.22]
Robinhood	-2.1644*** [-5.67]	0.9889** [2.18]	-1.5556 [-0.36]	—

Table 2, Panel B. Oct 4–Nov 5, 2024.

Takeaway: Polymarket Prices DJT Higher Than Kalshi; Kalshi Prices KH Higher Than Polymarket.

How We Calculate Potential Arbitrage

Pair a bullish-DJT leg with a bearish-DJT leg on the other platform.

$$\text{Matched profit} = \max(1 - \delta - p_j - p_k, 0) \min(q_j, q_k).$$

- Sort by adjusted prices within each 1-second, 1-minute, or 5-minute interval; match available sizes until no profitable pair remains.
- First use DJT-Win. Exclude intervals with DJT-Win-based violations before adding KH-Lose implementations in the same direction.
- Calculate the two cross-platform directions separately; use $\delta = 0$ or 0.02.

Table 3. Oct 4, 08:00–Nov 5, 23:59 ET, 2024.

Takeaway: Match Prices And Available Sizes To Measure Potential, Not Guaranteed, Profits.

Potential Cross-Platform Arbitrage

Interval	Bullish DJT platform	Profit (\$) No cost	Profit (\$) 2% cost
1-Second	Kalshi	135,480.41	42,741.94
1-Second	Polymarket	238.80	4.00
1-Minute	Kalshi	1,630,571.29	591,150.29
1-Minute	Polymarket	1,798.35	183.67
5-Minute	Kalshi	2,581,975.65	1,008,229.99
5-Minute	Polymarket	10,562.77	420.92

Table 3. Oct 4, 08:00–Nov 5, 23:59 ET, 2024.
Takeaway: Potential Profits Grow When The Matching Interval Is Lengthened.

Potential Within-Platform Arbitrage

Interval	Platform	Profit (\$)	Profit (\$)
		No cost	2% cost
1-Second	Kalshi	2,955.34	256.06
1-Second	Polymarket	77,868.54	1,831.01
1-Minute	Kalshi	14,448.40	1,902.62
1-Minute	Polymarket	331,503.18	7,215.02
5-Minute	Kalshi	45,043.82	6,627.88
5-Minute	Polymarket	640,006.61	27,525.05

Table A3. Oct 4, 08:00–Nov 5, 23:59:59 ET, 2024.

Takeaway: Trading Costs Sharply Reduce Within-Platform Arbitrage Opportunities.

Prices stay apart. **Where does new information enter first?**

$$R_{i,t}^K = c_K + \phi_{K \rightarrow K} R_{i,t-1}^K + \phi_{P \rightarrow K} R_{i,t-1}^P + u_{i,t}^K,$$

$$R_{i,t}^P = c_P + \phi_{P \rightarrow P} R_{i,t-1}^P + \phi_{K \rightarrow P} R_{i,t-1}^K + u_{i,t}^P.$$

- One 30-minute lag; control for each platform's own previous return.
- Election: unweighted VARs. Full sample: equal and volume weights.

Election VAR: All Reported Coefficients

Coefficient	DJT (1)	KH (2)
$\phi_{P \rightarrow K}$	0.198*** [2.94]	0.106** [1.96]
$\phi_{K \rightarrow P}$	-0.034 [-1.47]	0.048* [1.87]
$\phi_{K \rightarrow K}$	-0.320*** [-8.59]	-0.270*** [-7.49]
$\phi_{P \rightarrow P}$	-0.060 [-1.02]	-0.108** [-2.07]
Observations	1050	1052
Adj. R^2 , Kalshi	10.09%	7.17%
Adj. R^2 , Polymarket	0.59%	1.15%

Table 4. Oct 4, 08:00–Nov 4, 19:00 ET, 2024.
Takeaway: Polymarket Leads Kalshi For Both DJT And KH.

Matching: Events First, Markets Second

- **Event:** the underlying occurrence, such as the presidential election. **Market:** a specific outcome, such as DJT-Win.
- Broad event matching can tolerate compatible or nested event families. This is candidate retrieval, not final payoff equivalence.
- The market-level step checks the subject, effective threshold, direction, and deadline. An audit removes mismatched payoff structures.
- Use $1 - p$ when complementary contracts need their payoff direction aligned.

Table A4; Section 4.1. Sep 13, 2023–Mar 29, 2026.

Takeaway: A Related Event Is Not Enough; Matched Markets Must Represent Equivalent Bets.

How Representative Is the Matched Sample?

- The paper estimates that the matched panel captures about 2–3% of platform volume after the initial universe filters.
- It excludes parlays and multivariate products. The paper reports that parlays account for 86.7% of Kalshi listings.
- The five-day requirement excludes most short-lived Polymarket crypto markets: 96.3% fail it; 34.7% resolve within a day or less.
- Conservative text retrieval, confidence screens, and the top-two selection can miss valid matches.

Sections 4.1–4.2. Matched sample: Sep 13, 2023–Mar 29, 2026.
Takeaway: The Matched Panel Is A Selected Subset, Not The Entire Platform.

Matched Panel: Every Event Category

Category	Events	Markets	Trading Volume (mil.)	
			Kalshi	Polymarket
Sports	1089	1,398	570.331	246.365
Entertainment	189	278	6.230	4.620
Politics/Elections	198	238	512.195	1404.522
Technology/Companies	17	18	1.709	1.183
Climate/Weather	17	17	0.514	1.484
Crypto	11	11	1.834	2.806
Science/Health	5	5	0.008	0.003
Economics/Financials	4	4	0.076	0.183
World/Geopolitics	2	2	0.002	< 0.001
Social/Mentions	1	1	< 0.001	< 0.001
Total	1,533	1,972	1092.899	1661.167

Table A6, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Sports Dominate Market-Pair Counts; Politics Dominates Polymarket Volume.

Full-Sample VAR: Complete Results

Coefficient	Equal-weighted (1)	Volume-weighted (2)
$\phi_{P \rightarrow K}$	0.100*** [7.80]	0.265*** [3.16]
$\phi_{K \rightarrow P}$	0.095*** [5.52]	0.636*** [2.67]
$\phi_{K \rightarrow K}$	-0.226*** [-11.69]	0.153 [0.68]
$\phi_{P \rightarrow P}$	-0.149*** [-11.04]	-0.022 [-0.20]
Observations	160,159	151,032
Market pairs	1,972	1,944
Matched events	1,533	1,521
Adj. R^2 , Kalshi	5.02%	5.96%
Adj. R^2 , Polymarket	2.37%	9.32%

Table 5. Sep 13, 2023–Mar 29, 2026.

Takeaway: Both Lead-Lag Directions Are Significant Under Equal And Volume Weighting.

Equal Weighting and Volume Weighting

Each regression row is a matched market pair i in a 30-minute interval t .

$$w_{i,t}^{\text{equal}} = 1, \quad w_{i,t}^{\text{volume}} = V_{i,1:t-1}^P + V_{i,1:t-1}^K.$$

$V_{i,1:t-1}^s$ counts all contracts traded in that market on platform s through the **previous interval**.

Two-row illustration: share of the total weight

Row	Past combined contracts	Equal	Volume
A	1,000	50%	10%
B	9,000	50%	90%

We minimize $\sum_{i,t} w_{i,t} (u_{i,t}^s)^2$ in each equation. Under volume weighting, the same-sized error in B counts **nine times as much**.

What Does “High Relative Volume” Mean?

$$Q_{i,t-1} = \log(1 + V_{i,1:t-1}^P) - \log(1 + V_{i,1:t-1}^K).$$

- Compare cumulative contracts on the two platforms for the same market pair, using information through the previous interval.
- High: at or above the 80th percentile. Low: at or below the 20th percentile. Exclude the middle observations.
- This compares Polymarket with Kalshi. It is not just Polymarket's own busy versus quiet periods.

The paper uses volume as a **proxy for liquidity**; it does not report order-book depth or an Amihud split in this table.

Table 6, Panel A. Sep 13, 2023–Mar 29, 2026.

Takeaway: Compare Polymarket With Kalshi, Not Just Polymarket With Its Own History.

The Interaction Model

For each platform s , with the other platform denoted o :

$$R_{i,t}^s = c_s + \delta_s H_{i,t-1} + \phi_{s \rightarrow s} R_{i,t-1}^s + \phi_{o \rightarrow s} R_{i,t-1}^o \\ + \gamma_{s \rightarrow s} H_{i,t-1} R_{i,t-1}^s + \gamma_{o \rightarrow s} H_{i,t-1} R_{i,t-1}^o + u_{i,t}^s.$$

ϕ	Lead-lag coefficient in the low regime
γ	Change when moving to the high regime
$\phi + \gamma$	Coefficient in the high regime

Tables 6 and 8. Sep 13, 2023–Mar 29, 2026.

Takeaway: The Interaction Is The High-Minus-Low Change, Not The Total High-Regime Coefficient.

Relative Volume: Complete Results

Coefficient	Equal-weighted (1)	Volume-weighted (2)
$\phi_{P \rightarrow K}$	0.073*** [3.50]	0.060 [0.40]
$\gamma_{P \rightarrow K}$	-0.042 [-1.01]	0.077 [0.43]
$\phi_{K \rightarrow P}$	0.220*** [4.80]	1.527*** [3.89]
$\gamma_{K \rightarrow P}$	-0.211*** [-3.91]	-1.563*** [-3.95]
Observations	64,065	60,414
Market pairs	1,554	1,517
Matched events	1,300	1,275
Adj. R^2 , Kalshi	3.91%	15.66%
Adj. R^2 , Polymarket	4.42%	18.91%

Table 6, Panel A. Sep 13, 2023–Mar 29, 2026.

Takeaway: Kalshi's Lead Weakens When Polymarket's Relative Volume Is High.

How Is a Whale Trade Defined?

A trade's notional is $n_j = p_j q_j$. It qualifies when either rule holds:

$$n_j \geq \max(\$1,000, P99_{\text{platform, past 60 minutes}}),$$

or $n_j \geq \$500$ and $n_j \geq 10\% \times N_{\text{own market, past 60 minutes}}$.

- Platform percentile: trades across the selected matched markets on that platform.
- Relative whale activity then compares **cumulative whale contracts** across platforms, lagged one interval.
- This identifies large transactions, not the top 1% of wallets. Large size is a proxy for potentially informed activity.

Table 6, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Whales Are Large Trades Relative To Recent Activity, Not A Fixed Set Of Wallets.

Relative Whale Activity: Complete Results

Coefficient	Equal-weighted (1)	Volume-weighted (2)
$\phi_{P \rightarrow K}$	0.077*** [3.71]	0.110 [0.71]
$\gamma_{P \rightarrow K}$	-0.026 [-0.66]	-0.028 [-0.16]
$\phi_{K \rightarrow P}$	0.196*** [5.09]	1.019** [2.48]
$\gamma_{K \rightarrow P}$	-0.186*** [-3.90]	-1.045** [-2.44]
Observations	64,067	60,417
Market pairs	1,636	1,604
Matched events	1,334	1,319
Adj. R^2 , Kalshi	4.46%	6.72%
Adj. R^2 , Polymarket	4.90%	10.12%

Table 6, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Kalshi's Lead Weakens When Polymarket's Relative Whale Activity Is High.

Category VARs: Complete Results

Coefficient	Politics/Elections (1)	Entertainment (2)	Sports (3)
$\phi_{P \rightarrow K}$	0.178*** [5.87]	0.059*** [3.39]	-0.074 [-0.40]
$\phi_{K \rightarrow P}$	-0.028 [-1.17]	0.040 [0.55]	1.414*** [4.72]
$\phi_{K \rightarrow K}$	-0.424*** [-6.22]	-0.082 [-1.25]	0.746*** [2.61]
$\phi_{P \rightarrow P}$	-0.068** [-2.18]	0.010 [0.36]	-0.514** [-2.47]
Observations	50,382	12,160	82,311
Market pairs	237	265	1,385
Matched events	198	185	1,082
Adj. R^2 , Kalshi	9.30%	1.30%	12.27%
Adj. R^2 , Polymarket	0.37%	0.15%	17.85%

Table 7. Sep 13, 2023–Mar 29, 2026.

Takeaway: Polymarket Leads In Politics And Entertainment; Kalshi Leads In Sports.

Insider Information and Manipulation Are Different

Insider-information risk	A restricted group can learn a decisive fact before ordinary traders.
Manipulation risk	An actor or small group can cause, prevent, delay, or shape the outcome or the decisive resolution evidence.

GPT-5 scores each market from its title, resolution conditions, and sources. Scores run from 1 to 10; the matched pair receives the average of the two market scores.

High and low are category-specific top and bottom quintiles. The scores describe structural exposure, not misconduct.

Insider Risk: Complete Results

	Politics/Elections	Entertainment	Sports
Coefficient	(1)	(2)	(3)
$\phi_{P \rightarrow K}$	0.111*** [4.93]	-0.135* [-1.90]	0.162*** [3.03]
$\gamma_{P \rightarrow K}$	0.111*** [4.69]	0.197*** [2.72]	-0.517 [-1.07]
$\phi_{K \rightarrow P}$	0.089*** [3.08]	0.319** [2.15]	0.394 [1.15]
$\gamma_{K \rightarrow P}$	-0.106*** [-2.75]	-0.340** [-2.18]	1.206 [1.63]
Observations	26,711	7,621	46,716
Market pairs	128	153	738
Matched events	104	112	600
Adj. R^2 , Kalshi	11.95%	1.88%	12.77%
Adj. R^2 , Polymarket	1.72%	1.72%	15.72%

Table 8, Panel A. Sep 13, 2023–Mar 29, 2026.

Takeaway: Higher Insider-Information Risk Shifts Leadership Toward Polymarket In Politics And Entertainment.

Manipulation Risk: Complete Results

	Politics/Elections	Entertainment	Sports
Coefficient	(1)	(2)	(3)
$\phi_{P \rightarrow K}$	0.274*** [2.89]	-0.015 [-0.23]	0.145 [0.51]
$\gamma_{P \rightarrow K}$	-0.065 [-0.67]	0.070 [1.02]	-0.586 [-0.97]
$\phi_{K \rightarrow P}$	0.077* [1.70]	0.098 [0.65]	1.391** [2.49]
$\gamma_{K \rightarrow P}$	-0.097* [-1.92]	-0.072 [-0.44]	0.108 [0.12]
Observations	27,063	6,376	49,769
Market pairs	128	93	830
Matched events	103	72	657
Adj. R^2 , Kalshi	12.33%	1.81%	11.82%
Adj. R^2 , Polymarket	1.73%	0.64%	18.99%

Table 8, Panel B. Sep 13, 2023–Mar 29, 2026.

Takeaway: Only The Decline In Kalshi's Political-Market Lead Is Significant, At The 10% Level.

What the Evidence Does Not Identify

- A causal effect of regulation: platforms also differ in access, clientele, liquidity, and trading technology.
- Actual insider trading or illegal conduct by particular wallets: the risk measure describes contracts, not trader identities.
- A platform-wide ranking: the matched sample deliberately excludes many products and much of total activity.
- Executable arbitrage net of every real-world friction: the profit tables are calibrations from recorded trades.

Tables 3–8. Election: Oct 4–Nov 5, 2024; matched: Sep 13, 2023–Mar 29, 2026.
Takeaway: These Associations Do Not Identify Causal Effects Or Prove Misconduct.